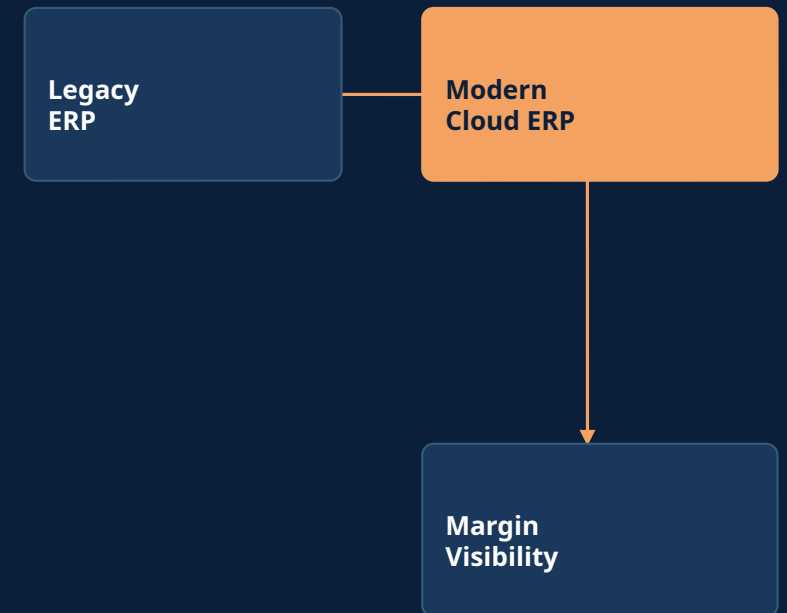


ERP Transformation Executive Presentation

Business-led cloud ERP replacement strategy to protect operations, strengthen data governance and improve margin transparency.

Prepared for AMG Executive Team

Take-home case submission



Executive recommendation

A controlled core ERP release, not an uncontrolled “replace everything” program.

RECOMMENDATION

Proceed with a business-led, fit-to-standard ERP program with formal readiness gates and a tightly controlled Day-1 scope.

80%

custom orders with
margin erosion

5

operating locations
across US & Canada

12

month target
for go-live

Decision priorities

1

Protect continuity

2

Stabilize BOM + labor
data

3

Deliver margin
transparency

4

Defer non-critical
complexity

Current-state diagnosis

Fragmented applications create unreliable product data, weak costing and operational delays.



Operational impact

BOM failures drive delays, rework and expedited costs.

Financial impact

Unreliable labor capture prevents trusted margin reporting.

Management impact

Executives lack a single reliable contribution-margin view.

Business objectives

Measure the program by operational control and margin visibility, not just system launch.



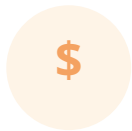
Protect continuity

Keep all five locations able to buy, build, ship, invoice and close during transition.



Govern product data

Create one controlled flow for items, BOMs, revisions and ECNs.



Improve margin visibility

Capture material, labor, rework and order cost to compare estimate vs. actual.



Standardize critical processes

Reduce uncontrolled spreadsheet workarounds while preserving necessary local controls.

Executive lens: prioritize requirements that protect continuity, regulatory/financial control, and margin transparency.

Implementation approach

A phased program with formal stage gates and one coherent core production release.

Program design principle

Design and test the tightly connected operating chain together: order → engineering/BOM → procurement → inventory → manufacturing → finance.



Gate rule: no phase exits solely because the calendar date arrived — each gate requires evidence of process, data, people and control readiness.

Scope and sequencing

Include the minimum complete operating backbone at Day 1; defer complexity that can safely wait.

Day-1 must-haves

- Finance, multi-entity accounting and close
- Order management through invoicing
- Item, BOM revision and ECN control
- Procurement, inventory and manufacturing
- Labor capture and essential margin reporting
- Security, approvals and audit controls

Include when it protects operations, compliance or near-term margin visibility

Deliberately deferred

- Full CRM replacement
- Broad HR / payroll transformation
- All 20+ years of legacy transactions
- Low-value custom reports and dashboards
- Non-critical automations and cosmetic enhancements
- Unproven advanced analytics or AI features

Defer when a safe workaround exists and Day-1 risk exceeds Day-1 value

Data and historical access strategy

Preserve uninterrupted access without loading every legacy transaction into the new ERP.

Recommended treatment by data type

Migrate fully

Active masters, approved BOMs, open orders, AR/AP, inventory, GL opening balances.

Migrate selectively

Recent comparative financial, customer, supplier and profitability history where value justifies effort.

Archive

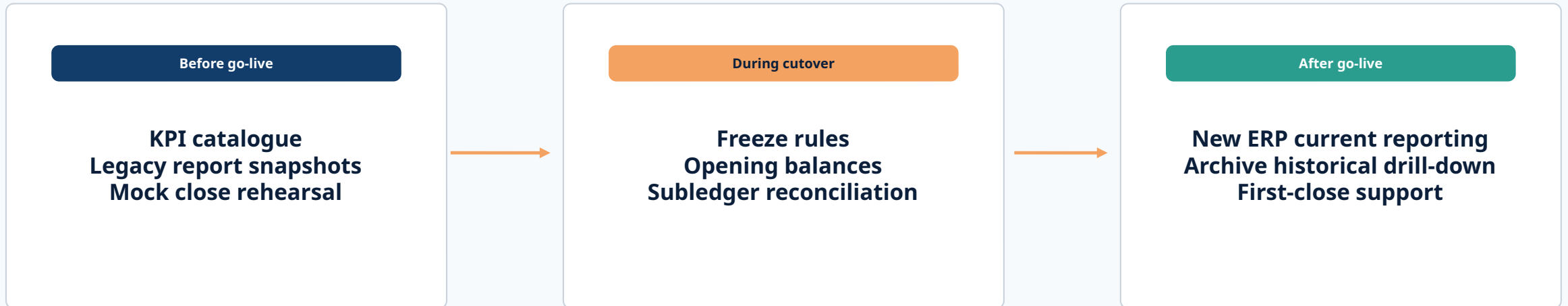
Older closed transactions, obsolete records and superseded revisions in secure read-only access.



Key decision: business owners, not IT alone, approve whether data is correct and fit for go-live.

Reporting and month-end continuity

Do not go live until executives and Finance can trust the numbers.



Governed KPI definition: contribution margin must use agreed treatment of material, labor, subcontracting, freight, rework and overhead.

Top risks and mitigations

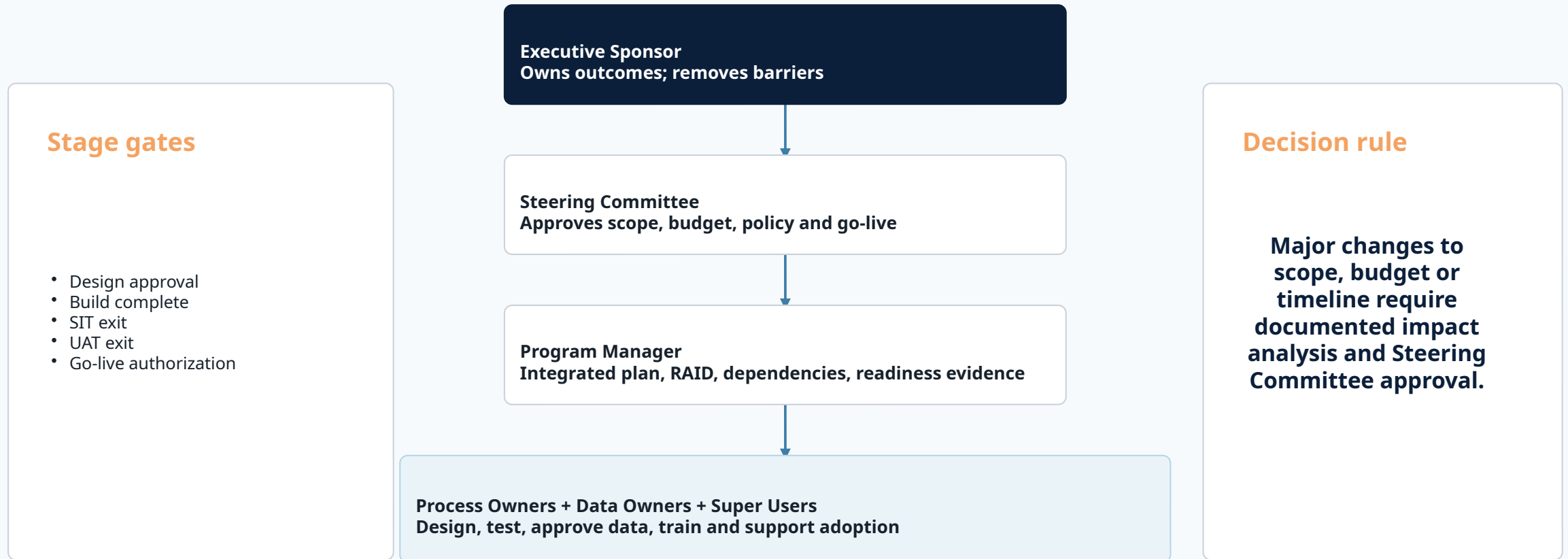
Focus executive attention on the few risks that can materially harm continuity or trust.

- | | | |
|---|---|---|
| 1 | Operational disruption at go-live | Mock cutovers, go/no-go criteria, fallback points, hypercare roster |
| 2 | Poor BOM / master data quality | Data owners, cleansing, migration rehearsals, Engineering + Operations sign-off |
| 3 | Scope creep and over-customization | Fit-to-standard rules, change-control board, post-go-live backlog |
| 4 | User adoption failure | Super-user network, role-based training, practice scenarios, adoption metrics |
| 5 | Reporting / first-close failure | KPI catalogue, reconciliations, mock close, dedicated Finance support |

Risk ownership must sit with named business leaders; IT can coordinate but cannot approve business data or process readiness alone.

Governance and decision rights

Run the project as enterprise transformation, not an IT-only software deployment.



Success measures and next executive actions

Baseline performance now; hold the program accountable for business outcomes after go-live.



BOM reliability

Critical sync / release failures reduced



Labor capture

High compliance with time entry by role



Margin visibility

Order contribution margin available and trusted



Close continuity

First live close completed with reconciled subledgers



Adoption

Users trained; spreadsheet workarounds reduced



Operations

Production delays and expedite costs trending down

Immediate executive actions

Confirm sponsor and Steering Committee • Approve Day-1 scope principles • Appoint process and data owners • Protect SME capacity • Authorize Month 1 discovery and baseline measurement